UNDER ARMOUR + FITLIFE

A disciplined acquisition option

Recurring customers require proof of demand and price

Investigate FitLife; do not approve the modeled offer today

Offer EV

$134m

Illustrative 25% premium

Standalone DCF EV

$104m

Assumption-driven five-year DCF

Value gap

$30m

Net synergies must exceed this plus costs

Board action: authorize diligence and a matched-market pilot. Set a bid ceiling only after verifying organic sales, product safety and risk-adjusted synergies.

FitLife June 2026 10-Q; team DCF and illustrative 25% premium

UA needs new full-price demand, especially in North America

FY2026 revenue

$4.97b

Down 3.8%

North America

-7.9%

FY2026 sales

Footwear

-10.8%

FY2026 sales

Latest quarter

-3%

April-June revenue

Why a category adjacency?

UA's improved adjusted operating outlook includes tariff effects. A smaller repeat-purchase category could broaden customer contact, but it cannot repair a $5b core brand by itself.

UA FY2026 10-K; case Exhibits 1-3; April-June 2026 quarter

FitLife meets the industry rule; Escalade is a serious challenger

Target	Strategic link	Decision concern
FitLife	Nutrition repeat purchases	Legacy brands -23% in Q2; compliance and price
Escalade	ONIX, Goalrilla: play + train + wear	Equipment eligibility uncertain; $109m DCF gap
Xponential	Fitness studios and community	$522m debt; franchisee control
Laird / GoPro	Food / action sports audience	Preferred claim / signed other merger

FitLife is the primary case target; Escalade deserves diligence if organizers confirm eligibility.

Source register; candidate filings and releases; as of October 22, 2026

FitLife brings a $101m nutrition business; size alone is not the thesis

FY2025 revenue

$81.5m

Filed

June 2026 LTM

$101.3m

2025 + H1 2026 - H1 2025

LTM operating

$11.0m

GAAP; acquisition-affected

Why own it?

Consumer nutrition has repeat purchase potential beside UA training products. Keep the existing FitLife retail and Amazon channels intact while testing new-to-UA purchases in selected stores and ecommerce.

FitLife FY2025 10-K and June 2026 10-Q; LTM derived

Headline growth hides an acquired business and weak legacy demand

Q2 legacy sales

-23%

Year over year

Irwin Q2 sales

$14.1m

Brand group acquired in 2025

H1 consolidated

$51.9m

Versus $32.1m in H1 2025

Require brand-level organic revenue, SKU retention and customer cohorts. Do not describe consolidated acquisition-driven growth as consumer validation.

A controlled pilot tests true new customers and incremental profit

1. Test

20 UA stores plus opt-in digital placements; adult products pass independent testing and claims review.

2. Control

Use matched stores or markets; keep existing FitLife channel revenue visible.

3. Decide

Measure new-to-UA buyers, 90/180-day repeat purchase and combined gross profit after spend.

A customer already buying FitLife on Amazon who switches checkout to UA is not a new combined customer.

Pilot design is a team proposal, not company guidance

Year 3 base case: $17.49m net-new sales is an assumption

Store sales

$17.28m

443 x 25 weekly x $30 x 52

Online proxy

$7.70m

DTC / $80 x 1% x $30

After overlap

$17.49m

70% of $24.98m

Reach caveat

UA DTC includes physical stores, so applying its full revenue as an ecommerce order base is generous. Website-only orders, cannibalization and actual conversion need measurement.

UA FY2026 10-K DTC/stores; transaction, AOV, attach and overlap assumptions

The pilot can lose money in the downside adoption case

Case	Store txns/wk	Online attach	Net-new sales	Operating result
Downside	10	0.5%	$5.38m	($2.39m)
Base	25	1.0%	$17.49m	$3.47m
Upside	40	1.5%	$33.32m	$9.33m

Contribution uses different margin and marketing costs by case. None of these cases is an observed FitLife or UA forecast.

Team commercial assumptions; model/case_model.py

The 50/50 illustration leaves $306m UA cash at close

UA cash	Target cash	Cash to sellers	Debt retired + fees	Closing cash
$395.98m	+$1.09m	-$48.51m	-$42.10m	$306.46m

Stock issued

$48.5m

~9.9m illustrative UA Class C shares at $4.88

UA debt after close

$591.2m

Target debt assumed retired; seasonal cash untested

UA and FitLife June 2026 10-Qs; price, stock mix and fees are team assumptions

Acquired revenue is only about 2% of UA sales

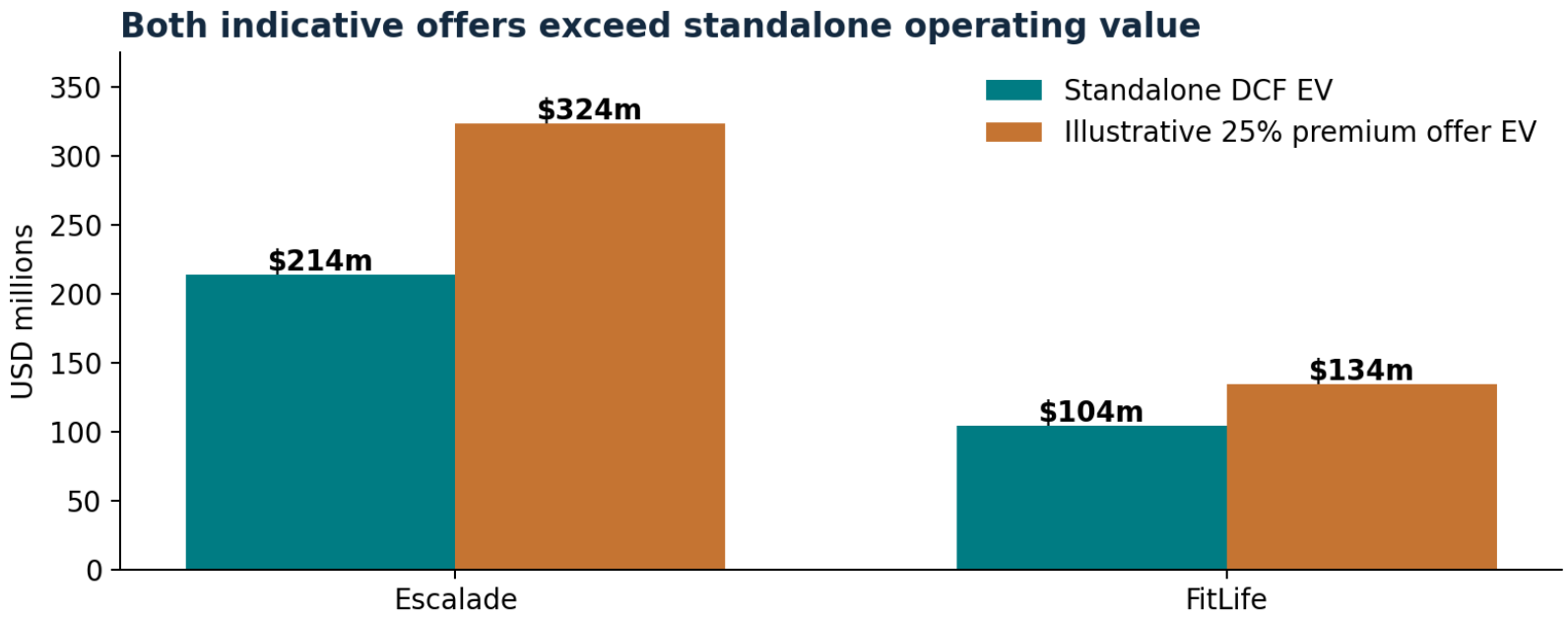
Metric	UA FY2026	FitLife LTM	Simple sum
Revenue	$4,966.4m	$101.3m	$5,067.7m
Operating income	($163.1m)	$11.0m	($152.1m)

Interpretation

The periods end at different dates and exclude acquisition accounting, financing and integration. This is screening arithmetic, not a GAAP pro forma or an organic growth claim.

UA FY2026 10-K; FitLife FY2025 10-K and June 2026 10-Q

The 25%-premium offer requires $30m plus costs of net synergy PV



Illustrative DCF; source filings through Jun 2026 and Oct 22 indicative quotes. No synergies. See workbook assumptions.

Bid discipline

Standalone FitLife DCF EV: $104.3m. Illustrative offer EV: $134.0m. The gap is $29.8m before fees and integration. A lower executable price or proven incremental profit is required.

Team DCF; full cash-flow and WACC/g sensitivity in valuation workbook

Product trust and organic sales are hard deal gates

Risk	Required evidence before an offer
Athlete product safety	Independent certification, contaminant testing and label audit
Health claims	Substantiation, compliant adult marketing and counsel review
Legacy decline	SKU-level cohort retention and credible stabilization plan
Customer cannibalization	Incremental combined profit versus matched controls
Liquidity and distraction	Seasonal cash floor, creditor terms and separate P&L

FitLife Q2 release; FDA, FTC and USADA guidance; team proposal

Capital has a competing use in UA's core business

Cash commitment

$90.6m

Cash to sellers + target debt + fees

Internal alternative

UA core

Footwear product and North America customer acquisition

Compare both options on risk-adjusted incremental gross profit and retained new customers. Public data do not establish which has the higher return.

Cash bridge is modeled; internal program is a counterfactual team assumption

Authorize diligence and pilot; require proof before any binding bid

Approve now

A 90-day matched-store and opt-in digital experiment; organic SKU diligence; independent product and claims review; debt and seasonal liquidity work.

Offer only if

Risk-adjusted net synergy value exceeds the $29.8m DCF gap plus integration and fees, the target trend can stabilize, safety gates pass, and the deal beats internal UA investment.

Team recommendation; full sources, scenarios and diligence questions in appendix